

Tata AI Legal Intelligence

Executive Compliance & Risk Assessment Report | Job ID: 7dfe6b91-89ee-4f9e-a81e-736ee0ff4add

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Extracted Clauses & Risk Matrix

#1: Summary

Risk: INFO

Text: Agreement between Tata Group and Apex Tech Solutions (Vendor) for software development and IT infrastructure maintenance services. Key provisions include: 3-year mandatory lock-in period with no unilateral right to terminate for convenience; joint IP ownership over custom deliverables; Delaware governing law and jurisdiction; Net 60 payment terms; and a 14-business-day data breach notification window. Additionally, Tata Group agrees to indemnify the Vendor against direct losses from breaches of commercial instructions.

Rationale: Establishes the foundational landscape of the agreement, outlining parties, active timelines, key payment milestones, and general obligations for the Compliance Officer's review.

#2: Missing Expected Clauses

Risk: HIGH

Text: 1. Comprehensive IP Infringement Indemnification (CLS-IND-002) protecting Tata Group from third-party claims; 2. Institutional Dispute Resolution & Arbitration (CLS-DIS-009 / DIS-ARB-501) under MCIA or SIAC in Mumbai; 3. Anti-Bribery and Anti-Corruption (ABAC) Compliance (CLS-ETH-013 / ETH-ABAC-701); 4. Prevention of Sexual Harassment (POSH) Mandate (POSH-IND-012); 5. Subcontracting Restrictions (CLS-SUB-012 / VEND-SUB-303); 6. Audit and Inspection Rights (CLS-AUD-015 / AUD-INSP-909); 7. Mandatory Insurance Coverage Limits (CLS-INS-016 / INS-COV-602).

Rationale: The omission of these critical compliance clauses exposes Tata Group to severe third-party liabilities, statutory violations (DPDP, POSH, and anti-corruption laws), lack of operational oversight (audit rights), and unpredictable dispute costs due to the absence of local arbitration mechanisms.

#3: Intellectual Property Ownership

Risk: HIGH

Text: All custom software and deliverables produced shall be jointly owned by both parties, and Vendor reserves the right to reuse underlying proprietary code libraries.

Rationale: Directly violates POL-IP-2026-10 and CLS-IP-006. All custom deliverables and created IP must vest exclusively with Tata Group as a 'work made for hire'. Joint ownership creates significant risk of IP leakage, dilution of competitive advantage, and allows the vendor to reuse bespoke elements for competitors.

#4: Term and Renewal

Risk: HIGH

Text: This Agreement shall remain in full force for a mandatory lock-in period of 3 (three) years. Neither party shall have the right to terminate this Agreement for convenience prior to the expiry of the 3-year term.

Rationale: Directly violates POL-TRM-2026-05, CLS-TERM-004, and TERM-CON-102. Tata Group must retain a unilateral, penalty-free right to terminate for convenience with a 30 to 60-day notice period. A 3-year absolute lock-in poses immense financial and strategic risk if the vendor underperforms.

#5: Confidential Information & Data Security**Risk: HIGH**

Text: confidentiality obligations shall expire immediately upon the termination or expiration... In the event of any data security incident or unauthorized access, the Vendor shall notify Tata Group within a reasonable timeframe (not exceeding 14 business days).

Rationale: Immediate expiration of confidentiality violates CLS-NDA-003, which mandates a 3 to 5-year survival period. Furthermore, the 14-business-day data breach notification SLA violates POL-IND-2026-01 and the DPDP Act 2023, which require immediate/48-hour notification and strict encryption handling.

#6: Governing Law, Jurisdiction & Dispute Resolution**Risk: HIGH**

Text: governed by and construed in accordance with the laws of the State of Delaware, United States, and all legal proceedings shall be subject to the exclusive jurisdiction of courts in Wilmington, Delaware.

Rationale: Violates CLS-LAW-008 and LAW-CORP-882. Procurement agreements for Indian Tata entities must prioritize Indian governing law and designate exclusive jurisdiction to courts in Mumbai. Litigating under Delaware law introduces massive operational friction and foreign litigation costs.

Human Governance & Audit Sign-Offs

No human review actions have been recorded for this document yet.